



ZERO2ONE

Modern Ecommerce
Full-Stack Finance

Keeping a clean chart of accounts is crucial for making sure your reports are easy to read and useful for decision making. Here's some best practices to ensure you are getting the most out of your income statement.

Simplify your income statement using only one sales account.

Use "Classes" to enable you to review a "Profit by Sales Channel" so you can view Shopify, Amazon, etc separately.

All product & landed costs get expensed here as products are sold. **Keep this account clean from adjustments or write offs.**

If Shrinkage is high, keep score, create a separate shrinkage account by source so you can go after compensation. **Post large one time write offs to "Other Expenses" instead.**

Only costs not easily assigned to inventory should go here. Inbound freight, duties, etc belong on the balance sheet and get expensed under cogs when products are sold.

These are all the costs necessary to get product from your warehouse to the customer's doors.

Use classes so you can see a breakdown by sales channel.

SIMPLE ECOMMERCE INCOME STATEMENT TEMPLATE

Income Statement

40000	Revenue
40100	Sales
40200	Sales Returns
40300	Discount

Total 40000 Revenue

Cost of Sales

50000	Cost of Goods Sold
50010	Cost of Goods Sold
50020	Shrinkage

Total 50000 Cost of Goods Sold

50100	Landed Costs
50110	3PL Storage Fees
50120	FBA Storage Fees
50140	3PL Labor Charges

Total 50100 Landed Costs

51000	Fulfillment Costs
51010	Amazon FBA Fees
51020	Outbound Freight
51040	Shipping & Delivery

Total 51000 Fulfillment Costs

52000 Marketplace Fees
Total Cost of Sales

Balance **simplicity & insight** when choosing which subaccounts you need.

Simplicity: Do you really need that \$8 postage expense account? Combine accounts that have a similar purpose like office expenses & postage.

Insight: Create separate accounts for large, distinct expense subcategories like Google & Facebook advertising. Separate key expenses by sales channel with classes to evaluate your marketing efforts.

Expenses

61000	Marketing & Advertising
62000	Payroll
63000	Administrative Expense
64000	Professional Services
65000	Finance Expenses

Total Expenses

NET ORDINARY INCOME

Lose 20k in stock due to a freak accident? This is the section for you. Keep your Net Ordinary income clean by putting things that aren't related to the normal operation of your core business here.

Other Income and Expenses

70000	Other Income
80000	Other Expenses

NET OTHER INCOME

What about landed Cost?

Landed costs are all expenses incurred to get your product ready to fulfill.

Brokerage Fees
Import Fees
Duties

Inbound Freight
Product Cost

Why aren't these expenses on the income statement?

Landed costs belong on the balance sheet. They should only be expensed when the item is sold, not when they occur.

Chart of Accounts Management Tips

1. Do not create accounts with a non-descriptive name like "miscellaneous", "ask accountant", or "other". **Every account should have a clear purpose.**
2. Deactivate accounts no longer in use to prevent accidental posting & reporting clutter.
3. Avoid posting directly to "header accounts" like 65000-Finance expenses instead create a sub account like 65010- Bank Charges.